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IN THE WINTER OF 1981, the automobile industry was suffering more than any other segment of our economy. Car sales had never fully rebounded from the effects of the Arab oil embargo, and showrooms were flooded with unsold cars; Detroit and its suppliers had furloughed thousands of workers around the country and, in the industrial heart of America, countless communities that relied on a healthy auto industry for their economic sustenance were in trouble.

Japan was landing more and more cars on our soil, and many people in Detroit wanted to make the Japanese the scapegoat for all their problems. As a result, strong sentiment was building in Congress and in the capitals of many industrial states to impose quotas on Japanese imports.

I am a free-trader. I firmly opposed import quotas. I believed that the new competition Detroit faced, like all competition, was good for it and good for consumers—a spur that would motivate our auto industry to produce better cars. That's how the free enterprise system works. I believed that once we started down the road to protectionism, there would be no way to turn back, no way of telling where it would end.

I'd learned that during the Great Depression, when Congress passed the Smoot-Hawley Tariff Act. This law imposed the stiffest tariffs in our history in an effort to protect American farmers from foreign imports. But it backfired and ended up hurting the farmers —and much of American industry—because other nations promptly levied their own tariffs, which resulted in our farmers and manufacturers selling fewer products abroad. The Smoot-